Itron. $130 on EV/EBITDA. $326 on EV/ARR. Same 18×

Osborne's SOTP already applies 18× to Outcomes. The same multiple on CY27E ARR produces $326. The denominator is the thesis.



PRIMARY SOURCE ARBITRAGE

JUN 02, 2026

On June 1, 2026, Landis+Gyr CFO Davinder Athwal disclosed annual recurring revenue (ARR) as a formally tracked segment metric for the first time at Nasdaq MarketSite. Verbatim: “I don’t think we’ve ever said that before, but that’s a new metric that we’re going to be showing going forward.”

The number: $207 million. Grid Intelligence segment. 45.2% gross margin. Greater than 10% revenue CAGR through FY2028.

In his May 8, 2026, Landis+Gyr earnings update, Jeff Osborne at TD Cowen wrote: “We do see Itron warranting a slight premium to Landis+Gyr based on our view Itron has a more compelling software offering.”

His current Itron SOTP applies that premium through EV/EBITDA. Not EV/ARR.

Itron Sum of the Parts Valuation Analysis	
	CY27E
Device Solutions	
EBITDA ($mn)	$121
Multiple	13.0x
Enterprise Value ($mn)	$1,514
Diluted Share Count (mn)	45.5
Device Solutions Revenue Value per Share	$33.30
Networked Solutions	
EBITDA ($mn)	$187
Multiple	16.0x
Enterprise Value ($mn)	$3,068
Diluted Share Count (mn)	45.5
Networked Solutions Revenue Value per Share	$67.48
Outcomes	
EBITDA ($mn)	$122
Multiple	18.0x
Enterprise Value ($mn)	$2,203
Diluted Share Count (mn)	45.5
Outcomes Revenue Value per Share	$48.45
Net Cash per Share Calculation	
Cash Equivalents ($mn)	$713
Debt ($mn)	$1,574
Net Cash	-$861
Diluted Share Count (mn)	45.47
Net Cash per Share	-$18.94



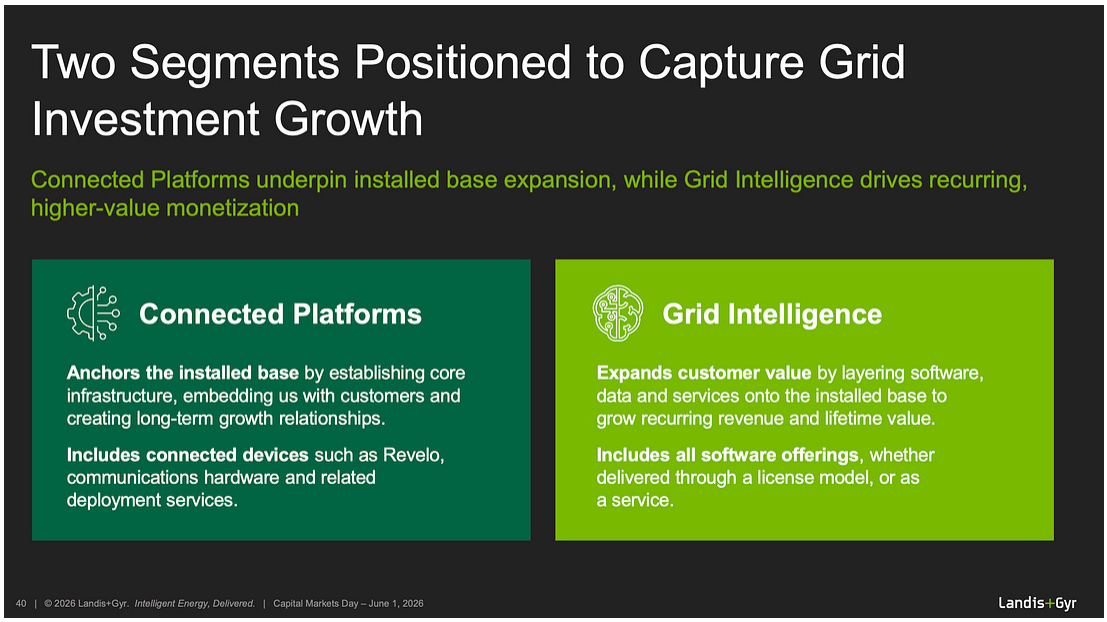
Itron Sum of the Parts Valuation. Source: TD Cowen, April 28, 2026.

TD Cowen's April 28 Itron SOTP: Device Solutions at 13.0× on $121 million CY27E EBITDA. Networked Solutions at 16.0× on $187 million. Outcomes at 18.0× on $122 million. Net cash per share: −$18.94. Price target: $130.

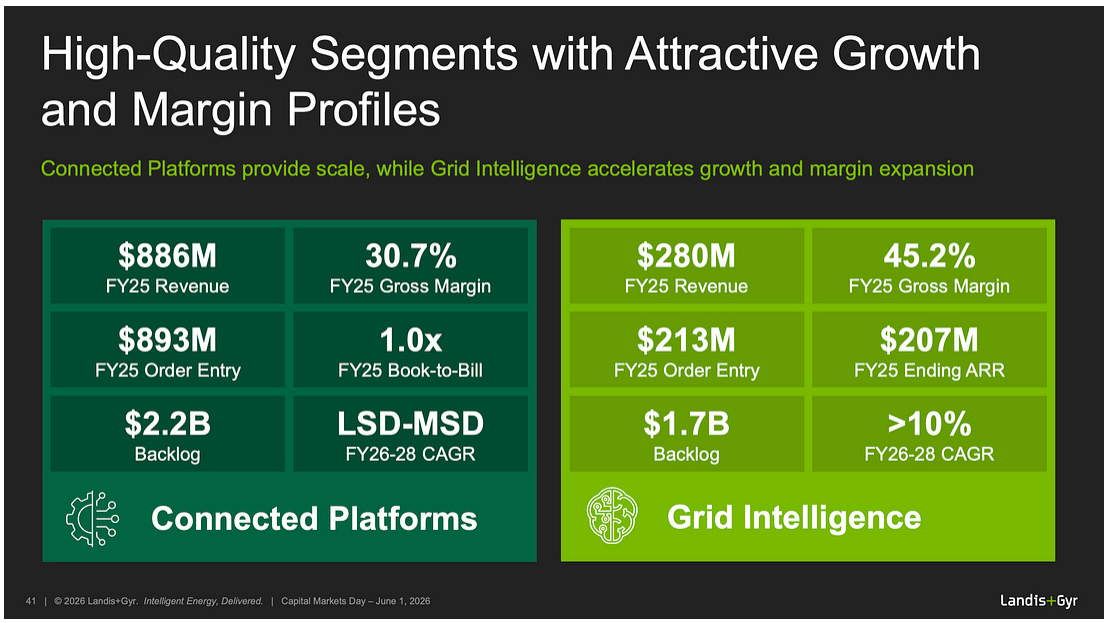
Resiliency Solutions does not appear.

The 18.0× on Outcomes EBITDA is the highest multiple in the model. It produces $2.2 billion of enterprise value and $48.45 per share. Resiliency Solutions reported $16 million of Q1 2026 revenue at 73.0% adjusted gross margin in its first full quarter. It contributes zero.

Before June 1, Osborne could not build an EV/ARR framework for Landis+Gyr's software layer because L+G had never disclosed segment ARR. CMD changed that. $207 million of Grid Intelligence ARR, 45.2% gross margin, greater than 10% CAGR — the first formal disclosure in the company's history. Now that the framework can be applied to L+G, the same exercise is unavoidable for Itron. Osborne covers both. He is on record that Itron warrants a premium on software quality.

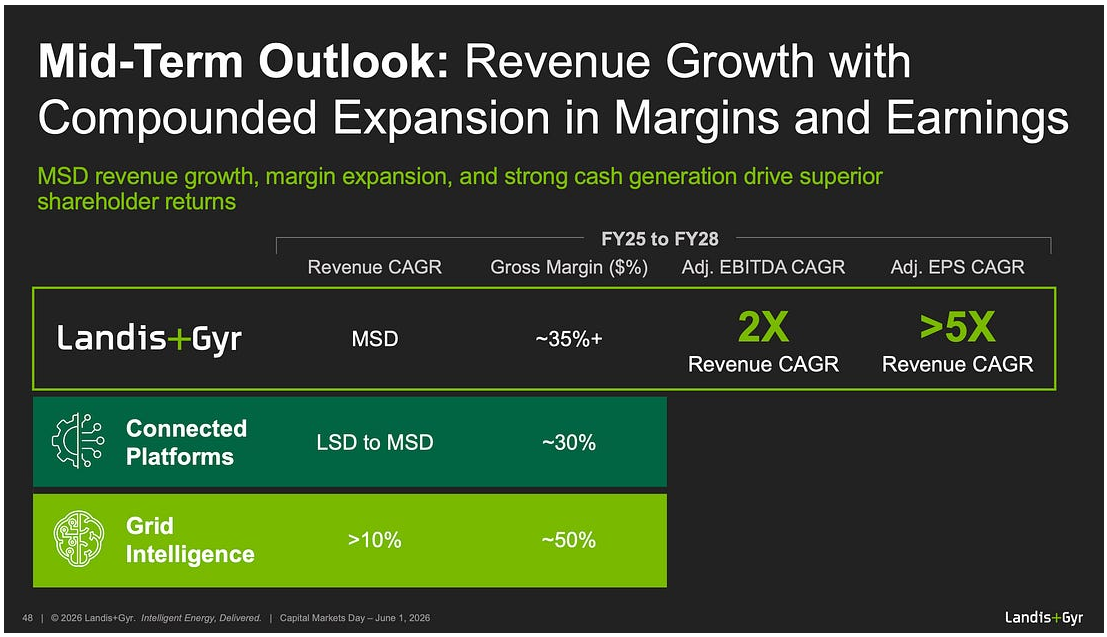


Connected Platforms and Grid Intelligence defined explicitly as hardware and software. Source: Landis+Gyr Capital Markets Day, June 1, 2026.



Grid Intelligence: $280M FY25 revenue, 45.2% gross margin, $207M FY25 ending ARR, $1.7B backlog, >10% FY26-28 CAGR. Source: Landis+Gyr Capital Markets Day, June 1, 2026.

Athwal framed the segmentation explicitly: “you can think of Connected Platforms as hardware, you can think of Grid Intelligence as software.” He applied software industry language directly. Net dollar retention (NDR) of 122% from a disclosed customer case study. 100% large customer retention. These are the metrics software analysts use. ARR replaced endpoints under management as Itron’s primary KPI in its FY2025 10-K, the same transition L+G’s CFO just made on stage.



Grid Intelligence: >10% revenue CAGR, ~50% gross margin target FY25-FY28. Source: Landis+Gyr Capital Markets Day, June 1, 2026.

Osborne’s SOTP uses CY27E. His Outcomes line: $122 million CY27E EBITDA at 18.0× = $2,203 million enterprise value, $48.45 per share.

Itron ended Q1 2026 with $414 million of ARR, growing 28% YoY. At 20% annual growth through CY2027, conservative given the Q1 print, that reaches approximately $596 million.

If Osborne applied the same 18× multiple to CY27E ARR instead of CY27E EBITDA on the software layer, keeping everything else in his model identical:

Device Solutions: $1,514 million. Networked Solutions: $3,068 million. Software at 18× CY27E ARR ($596 million): $10,728 million. Less net cash: −$861 million. Total equity: $14,449 million divided by 44.34 million shares: **$326 per share.**

The same 18× Osborne applies to Outcomes, produces **$130 on EBITDA and $326 on ARR**. The difference is entirely the choice of denominator on the software layer.

At static current ARR of $414 million with no growth assumption: $414 million × 18× = $7,452 million. Adjusted price target: approximately $252 per share.

Resiliency Solutions' ARR is blended into the $414 million total with no segment-level disclosure. $16 million Q1 revenue at 73.0% adjusted gross margin in its second reported quarter, 31 points above the next-highest segment. Joan Hooper, CFO, Q1 2026 earnings call: '**The results to date have not really been any synergies per se.**.. everything you saw in Resiliency Solutions is kind of the businesses we bought with no contribution from Itron.' The cross-sell into 8,000 utility relationships has not started. The NVIDIA co-branding on AI-powered grid edge capabilities announced March 16 has no L+G equivalent. Neither has a standalone valuation in any published model.

On the comp: applying the same SOTP methodology consistently to both companies at current prices, stripping hardware at 1.0× revenue from each group's EV. Itron's software layer implies 6.3× EV/ARR on 28% growth. L+G's Grid Intelligence implies 5.6× EV/ARR on greater than 10% growth. The modest premium Osborne described is in the numbers. L+G closed June 2 up 5.92% on the Grid Intelligence segment disclosure. TD Cowen updated its L+G target the same day. The full note is not yet publicly available.

The Investor Day is the forcing function. Deitrich stated February 17, "sometime in the next year or so." The announcement for the prior

Investor Day came on the Q4 2023 earnings call on February 26, 2024, with the event held March 12th. No advance pricing.

CMD did not force the re-rating. It closed the argument about whether EV/ARR can be applied to a utility metering software business. It can. L+G's CFO demonstrated it from the same stage. The Investor Day is when Itron management makes the same claim, for a business at twice the ARR, three times the growth rate, with a 73% gross margin segment not in any published SOTP, and an NVIDIA co-branding with no peer equivalent in the category.

The setup

On June 1, L+G disclosed $207 million of Grid Intelligence ARR for the first time. The analyst covering both companies said CMD would allow an SOTP valuation, and that Itron warrants a premium to L+G on software quality. Before today, he could not build the L+G EV/ARR framework. The data did not exist. It does now. His current Itron SOTP applies 18× to Outcomes EBITDA. Resiliency Solutions is not in it. The same 18× applied to CY27E ARR produces $326 per share. The Investor Day is the forcing function.

Note added June 2: TD Cowen updated its Landis+Gyr price target following CMD. The full note is not yet available. When it is: whether Osborne applies EV/ARR to Grid Intelligence is the signal. If he does, the consistency problem for Itron is documented in writing.

Pushback welcome.

Disclosure: I hold a position in Itron. This material is for informational purposes only and does not constitute investment advice. All figures sourced from: Landis+Gyr Capital Markets Day 2026 Ad Hoc Announcement, June 1,

2026; Landis+Gyr Capital Markets Day 2026 Full Transcript, June 1, 2026 — Davinder Athwal CFO verbatim; TD Cowen Landis+Gyr Earnings Update, May 8, 2026 — Jeff Osborne verbatim; TD Cowen Itron Earnings Update, April 28, 2026 — Jeff Osborne, Figure 5 SOTP; Itron Q1 2026 Earnings Call, April 28, 2026 — Deitrich and Hooper verbatim; Itron FY2025 10-K; Itron press release March 16, 2026 — NVIDIA co-branding. EV/ARR SOTP: hardware stripped at 1.0× FY2025 revenue from group enterprise value for both companies. Itron: 44.34M shares × $84.79 + $897M net debt = $4,658M group EV; hardware $2,004M; software implied EV $2,654M ÷ $414M ARR = 6.3×. Landis+Gyr: 28.86M shares × CHF 52.80 × 1.27 + $105.5M net debt = $2,041M group EV; Connected Platforms $886M; Grid Intelligence implied EV $1,155M ÷ $207M ARR = 5.6×. Adjusted SOTP: Device Solutions $1,514M and Networked Solutions $3,068M per TD Cowen Figure 5; software at 18× CY27E ARR $596M ($414M × 1.20 × 1.20, conservative vs. Q1 28% YoY print) = $10,728M; less net cash $861M per TD Cowen Figure 5; total equity $14,449M ÷ 44.34M shares = $326. Net debt figures: Itron from Hooper verbatim Q1 2026; Landis+Gyr from TD Cowen May 8, 2026.